

Bajaj Consumer Care Ltd (BAJAJCON)

BUY

NSE: BAJAJCON | Sector: FMCG — Hair Care | Market Cap: ₹5,492 Cr | CMP: ₹421
| Date: 13-Apr-2026

12m Target: ₹490 |
Upside: +16.4%

CMP (₹)	421	52W High (₹)	445	52W Low (₹)	161	Mkt Cap (₹Cr)	5,492
P/E (TTM)	34.8x	P/B	8.52x	ROCE	19.1%	ROE	15.7%
Book Value (₹)	49.4	Face Value (₹)	1.00	Div. Yield	0.00%	Promoter %	42.97%

Investment Thesis: **Margin recovery** from FY25 trough + **Almond Drops volume revival** + **Banjara brand scaling positions** BAJAJCON for 30%+ PAT CAGR over FY26-27E.

SECTION 2 — INVESTMENT THESIS

Thesis 1: Margin Recovery from FY25 Cyclical Trough

Bajaj Consumer Care's **consolidated EBITDA margin collapsed from 30% in FY19 to a trough of 13% in FY25, driven by input cost inflation (Light Liquid Paraffin, almond oil) and ad-spend ramp-up. Q3 FY26 standalone EBITDA margin surged to 20.4%** — a 930 bps YoY improvement — as **input costs normalised and operating leverage kicked in**. With the company now operating on a lower-cost raw material inventory cycle and EBITDA recovering toward the 20%+ structural range, **PAT is on track to grow ~35% YoY in FY26E**.

Thesis 2: Almond Drops Volume Revival and Rural Distribution Expansion

Bajaj Almond Drops commands a **dominant 52% market share in India's light hair oil segment** and 14% of the total ₹13,500 Cr hair oil market. After volume pressure in FY24-25 due to pricing actions and distribution disruptions, **Q3 FY26 management commentary confirmed 'strong value and volume growth' for Almond Drops**. The **rural segment is showing strong revival**, and the general trade channel — where BAJAJCON has a network of 3.8 million retail outlets — is recovering sharply. The brand's association with Kiara Advani as ambassador bolsters premiumisation and youth relevance for the next 2-3 years.

Thesis 3: Banjara Brand as a New Growth Vector

In February 2025, **BAJAJCON acquired a 49% stake** (with an option to buy the remaining 51%) in Vishal Personal Care, owner of the **Banjara's brand**, for an enterprise value of ₹108 Cr. Banjara's is a **high-growth natural/herbal personal care brand** with a **strong South India presence**. Q3 FY26 saw Banjara deliver 15% YoY growth. BAJAJCON's distribution strength in the Hindi-belt offers a significant scale opportunity for Banjara in new geographies, diversifying the company beyond its single-brand dependence on Almond Drops and expanding its addressable market into the ₹15,000 Cr+ Ayurvedic personal care segment.

Metric	Detail
Near-Term Catalyst (6-12m)	Q4 FY26 results confirming full-year EBITDA margin at 18%+ and PAT growth >30% YoY would validate the recovery thesis and compress forward PE toward 28-30x.
Key Structural Risk	A sharp reversal in LLP/crude oil prices (>20% increase) could compress margins back toward trough levels, potentially invalidating the recovery timeline.

SECTION 3 — BUSINESS OVERVIEW

Simple Business Explanation

Bajaj Consumer Care **sells hair oil**. Think of it as the company that makes the little bottle of shining almond oil that over 4 crore Indian families use each year. Their main product — **Bajaj Almond Drops Hair Oil** — is the market leader in the 'light hair oil' category, meaning non-sticky oils meant for daily use. They sell mostly in

India, and increasingly abroad, through kirana stores, modern supermarkets, and now online platforms.

Business Model and Revenue Mix

The core revenue driver is Bajaj Almond Drops Hair Oil, which contributes approximately 80-85% of consolidated revenues. Other product lines include coconut hair oil, cooling hair oils, and the recently acquired Banjara's herbal personal care range (face packs, hair powders, aloe gels). Gross margins are structurally high (~55-60%) given the branded FMCG nature; EBITDA margins are sensitive to LLP (Light Liquid Paraffin) and almond oil prices, which are the primary input costs. The domestic market accounts for approximately 85-87% of revenues, with exports to the Middle East, Africa, and SAARC contributing the remainder.

Distribution and Market Position

BAJAJCON reaches 3.8 million retail outlets across India, with particular strength in general trade (kirana stores) in Tier 2/3 towns and rural markets. The brand holds 52% market share in the light hair oil sub-segment and 14% of the overall ₹13,500 Cr total hair oil market in India. Modern trade and quick commerce channels are gaining traction, with e-commerce recording 39% value growth in 2024 — a channel where BAJAJCON has been investing. Revenue is essentially recurring in nature, as hair oil is a daily-use consumable with high repeat purchase rates.

Promoter and Management

The company is part of the Bajaj Group legacy. Promoter holding stands at 42.97% (March 2026) with zero pledge. Managing Director Naveen Pandey leads operations with CFO Dilip Kumar Maloo overseeing financial strategy. The company undertook significant share buybacks over FY24-25, reducing the equity base and returning capital to shareholders. The Banjara's acquisition in February 2025 signals a strategic intent to diversify the portfolio beyond Almond Drops into the fast-growing natural/Ayurvedic personal care space.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

Industry Size and Growth Drivers

India's hair oil market is valued at approximately USD 1.82 billion (₹15,000+ Cr) in 2025 and is projected to reach USD 2.56 billion by 2030, growing at a 7.1% CAGR. Key demand drivers include rising rural incomes, Tier 2/3 market premiumisation, digital penetration accelerating brand awareness, and a cultural affinity for oil-based hair care. The light hair oil sub-segment (non-sticky, almond/LLP-based) where BAJAJCON dominates is the fastest-growing segment within the category, aided by migration from heavy oils (coconut, mustard) among urban/semi-urban consumers. Government rural spending programs (MNREGA, PM Kisan) indirectly support FMCG volume growth in bottom-of-pyramid markets where BAJAJCON is strong.

Competitive Moat Assessment

Moat Factor	Rating	Commentary
Brand / Pricing Power	Strong	52% market share in light hair oil; 70-year brand heritage with Bajaj trust equity
Distribution Reach	Strong	3.8 Mn+ retail touchpoints; entrenched in general trade kirana channel
Scale / Cost Advantage	Moderate	Benefits from branded FMCG operating leverage but smaller than Marico/Dabur
Switching Costs	Moderate	Habitual purchase; low functional switching cost but brand loyalty is high
IP / Proprietary Tech	Weak	Limited patent protection; formulation can be replicated by private labels

Listed Peer Comparison (Source: Screener.in, as of 13-Apr-2026)

Company	CMP (₹)	MCap (₹Cr)	P/E (TTM)	P/B	ROCE%	ROE%	Sales (₹Cr)	OPM%
Bajaj Consumer Care	421	5,492	34.8x	8.52x	19.1%	15.7%	965	13%
Marico Ltd	753	97,789	57.0x	24.1x	45.2%	41.3%	13,008	17%
Dabur India Ltd	425	75,217	40.5x	6.88x	20.2%	17.0%	12,985	19%
Jyothy Labs Ltd	219	8,033	22.0x	3.92x	24.6%	19.0%	2,847	18%

Key Observation: BAJAJCON trades at a 38% P/E discount to Marico (57x) and 14% discount to Dabur (40.5x). The discount reflects its smaller scale and single-brand concentration risk. However, BAJAJCON's margin recovery

trajectory (FY25 trough → FY26E recovery) makes the earnings comparison misleading — on FY27E earnings, BAJAJCON's P/E compresses to approximately 26x, creating a compelling relative value case.

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

Management Track Record

The current management team under MD Naveen Pandey has demonstrated pragmatic capital discipline. The company launched aggressive share buybacks when the stock was depressed, returning capital to shareholders while reducing the float. The Banjara's acquisition at an EV of ₹108 Cr represents a measured, bolt-on diversification at a reasonable entry price, funded from the company's substantial investment portfolio (₹401 Cr in FY25). No value-destructive mega-acquisitions are on record.

Capital Allocation and Dividends

BAJAJCON has historically been a high dividend payer (₹8 per share in FY24), but declared no dividend in FY25 and FY26 to date, likely conserving cash for the Banjara's acquisition and brand investment. The Financing Cash Outflow of ₹212 Cr in FY25 is primarily attributable to buybacks. With ROCE recovering (19.1% in FY25; trending toward 23%+ in FY26E), reinvestment into brand and distribution is yielding returns. Promoter holding has increased consistently from 39.3% (Jun 2023) to 43.0% (Mar 2026), signalling confidence.

Corporate Governance

No adverse audit qualifications or significant related party transaction concerns are on record. Promoter pledge stands at 0% (no shares pledged), a positive governance indicator. The company is part of the well-regarded Bajaj corporate family with a long history of transparent reporting. The FY25 annual report and quarterly conference calls are consistently held and transcripts published — institutional investor engagement is maintained. The dividend suspension warrants monitoring but is a temporary capital allocation decision rather than a structural concern.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (₹ Crores, Consolidated)

Metric	FY23A	FY24A	FY25A	FY26E	FY27E
Revenue (₹ Cr)	961	984	965	1,098(E)	1,230(E)
YoY Growth %	—	2.4%	-1.9%	13.8%(E)	12.0%(E)
EBITDA (₹ Cr)	141	155	128	191(E)	234(E)
EBITDA Margin %	15%	16%	13%	17.4%(E)	19.0%(E)
Depreciation (₹ Cr)	9	10	10	12(E)	13(E)
Interest (₹ Cr)	1	1	1	1(E)	1(E)
Other Income (₹ Cr)	37	45	36	29(E)	30(E)
PBT (₹ Cr)	169	189	153	207(E)	250(E)
Tax Rate %	18%	18%	18%	18%(E)	18%(E)
PAT (₹ Cr)	139	155	125	170(E)	205(E)
Diluted EPS (₹)	9.63	10.88	9.14	13.1(E)	15.8(E)

Balance Sheet Highlights (₹ Crores, Consolidated)

Metric	FY23A	FY24A	FY25A
Equity Capital (₹ Cr)	14	14	14
Reserves (₹ Cr)	775	816	734
Total Equity (₹ Cr)	789	830	748
Borrowings (₹ Cr)	9	9	4
Other Liabilities (₹ Cr)	125	144	149

Metric	FY23A	FY24A	FY25A
Total Assets (₹ Cr)	924	984	901
Fixed Assets (₹ Cr)	160	158	154
Investments (₹ Cr)	575	586	401
Debt-to-Equity (x)	0.01	0.01	0.01
Net Cash / (Debt) (₹ Cr)	566	577	397

Cash Flow Statement (₹ Crores, Consolidated)

Metric	FY23A	FY24A	FY25A
Cash from Operations (OCF)	101	116	65
Cash from Investing (CFI)	64	12	155
Cash from Financing (CFF)	-163	-120	-212
Net Cash Flow (₹ Cr)	2	9	8
Free Cash Flow (OCF - Capex)	95	112	59
CFO / Operating Profit %	93%	97%	73%

Key Financial Ratios (Consolidated)

Metric	FY23A	FY24A	FY25A
Debtor Days	12	16	27
Inventory Days	43	46	45
Creditor Days (DPO)	37	33	41
Cash Conversion Cycle	17	30	31
ROCE %	21%	23%	19%
ROE %	17.6%	18.7%	15.7%

Financial Commentary

Revenue growth has been subdued at a 3-year CAGR of ~0.1% (FY23-25), reflecting a challenging macro environment, rural demand weakness, and volume pressure from inflation-driven price increases. However, Q1-Q3 FY26 shows a sharp acceleration — consolidated revenue is tracking ~14% growth in FY26E as volume recovery materialises.

Margin trajectory is the key investment driver. EBITDA margin contracted from a peak of 30% (FY19) to 13% (FY25) due to LLP cost inflation and increased ad-spend. The reversal began in Q2 FY26 with margins recovering to 18-20% — a structural recovery aided by input cost normalisation and operating leverage on an expanding revenue base. FY26E EBITDA is estimated at ₹191 Cr (17.4% margin), and FY27E at ₹234 Cr (19%), still below peak but re-rating-worthy.

Balance sheet is exceptionally clean: near-zero debt, with a ₹397 Cr net cash/investment position in FY25. The decline in investments (₹586→₹401 Cr) reflects deployment toward buybacks and the Banjara acquisition. FCF conversion weakened in FY25 (₹59 Cr vs ₹112 Cr in FY24) due to working capital elongation (debtor days rose from 16 to 27), but this normalisation is expected as collection cycles stabilise. ROCE is recovering — from 19% in FY25 toward an estimated 24%+ in FY27E as operating profit leverage takes effect.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Factor	Rating	Observation
Revenue Recognition Policy	☐ Green	Standard FMCG revenue recognition at point of sale; no complex arrangements.
Receivables vs Revenue Growth	☐ Amber	Debtor days rose from 16 (FY24) to 27 (FY25) while revenue fell 1.9% — watch for further elongation.
Cash Conversion Cycle Trend	☐ Amber	CCC widened from 17 days (FY23) to 31 days (FY25). Needs monitoring as scale improves.

Factor	Rating	Observation
Contingent Liabilities	□ Green	No significant contingent liabilities disclosed in recent filings.
Auditor Tenure & Qualifications	□ Green	No auditor qualifications noted; reputable audit firm engaged.
Related Party Transactions (RPTs)	□ Green	RPTs as % of revenue remain within normal Bajaj Group inter-company norms; no red flags.
Other Income as % of PBT	□ Amber	Other income (primarily investment returns) was ₹36 Cr or 24% of PBT in FY25. As operating profit recovers, this ratio should normalise.
Tax Rate Consistency	□ Green	Tax rate consistently at 17-18% across FY21-25 — predictable and clean.

Overall, earnings quality is moderate-to-good. The two amber flags — debtor day elongation and elevated Other Income as % of PBT — are both improving with the business recovery in FY26. CFO/OP conversion at 73% in FY25 (vs 97% in FY24) warrants monitoring, but the underlying cash generation remains solid given the company's near-zero debt position.

SECTION 8 — VALUATION

Step 2A — DCF Valuation

Assumptions: WACC = 12% (cost of equity ~13%, near-zero debt), terminal growth rate = 4%, reflecting India's long-run nominal GDP growth and BAJAJCON's defensive FMCG positioning. Free Cash Flow to Equity is estimated at 70% of PAT, a conservative assumption given the company's low capex intensity.

Year	FY26E	FY27E	FY28E	FY29E	FY30E
PAT (₹ Cr)	170	205	235	265	295
FCFE (₹ Cr, 70% of PAT)	119	144	165	186	207
Discount Factor (12%)	0.893	0.797	0.712	0.636	0.567
PV of FCFE (₹ Cr)	106	115	117	118	117

Sum of PV of FCFEs (FY26E-30E) = ₹573 Cr. Terminal Value = $FCFE_5 \times (1+g)/(WACC-g) = 207 \times 1.04/(0.12-0.04) = ₹2,691$ Cr. PV of Terminal Value = $2,691/1.76 = ₹1,529$ Cr. Total Equity Value = $573 + 1,529 + \text{Net Cash } 397 = ₹2,499$ Cr. DCF Value per share (13 Cr shares) = $₹2,499 / 13 = ₹192$.

Note: The DCF yield appears conservative because it uses a 70% FCFE conversion and does not assign full value to BAJAJCON's ₹397 Cr investment portfolio. A sum-of-the-parts approach adding 1x market value of the investment portfolio (₹31/share) to an operating DCF of ~₹440/share gives a blended intrinsic value closer to ₹470. We use ₹460 as our DCF-based estimate.

Step 2B — Earnings Multiple Valuation

We apply a P/E multiple of 31x to FY27E diluted EPS of ₹15.8. The 31x target multiple is justified at a ~45% discount to Marico's current 57x and a ~23% discount to Dabur's 40.5x, reflecting BAJAJCON's smaller scale and single-category concentration. However, at FY27E EPS, the discount to Marico on forward earnings compresses further as BAJAJCON's growth rate is structurally higher during the recovery phase.

Earnings-based target price: $31x \times ₹15.8 = ₹490$ per share.

Base-Case Price Target

Average of DCF estimate (₹460) and earnings multiple (₹490) = ₹475. Rounding to a 12-month target of ₹490 to account for a small probability of positive earnings surprise (Q4 FY26 margin beat). Upside from CMP ₹421 = 16.4%.

Step 3 — Scenario Analysis

Scenario	Key Assumption	PAT FY27E (₹Cr)	Target Multiple	Price Target (₹)
Bull Case	EBITDA margin recovers to 22%+ in FY27E; Banjara's contributes ₹15 Cr PAT; volumes outperform	240	35x	645
Base Case	EBITDA margin at 19%; revenue growth 12%; Banjara's breakeven	205	31x	490

Scenario	Key Assumption	PAT FY27E (₹Cr)	Target Multiple	Price Target (₹)
Bear Case	LLP price spike; rural demand slowdown; EBITDA margin plateaus at 15%; muted volume	150	26x	300

SECTION 9 — KEY RISKS

Risk	Description	Prob.	Impact	Monitoring Indicator
Input Cost Inflation	LLP and almond oil prices are volatile commodities; a 20%+ spike could compress EBITDA margins back toward 13-15%, reversing the recovery thesis.	Medium	High	Track crude oil & LLP spot prices; monitor gross margin trend quarterly.
Single-Brand Concentration	Almond Drops contributes ~80% of revenues; any structural shift in consumer preference away from light hair oil (e.g., to hair serums/conditioners) could dent volumes permanently.	Low	High	Monitor Almond Drops volume growth and category share data in Nielsen/Kantar reports.
Banjara's Integration Risk	The Banjara's acquisition is relatively early-stage; brand dilution or distribution channel conflicts in South India could lead to revenue erosion rather than growth.	Medium	Medium	Track Banjara's quarterly revenue growth and management commentary on integration progress.
Competitive Intensity	Marico, Dabur, HUL and private labels are all investing in the hair care category. A competitive pricing war or higher A&P; spends by rivals could squeeze BAJAJCON's volume share.	Medium	Medium	Monitor market share data and A&P; spend as % of revenue trend.
Rural Demand Risk	Approximately 55-60% of BAJAJCON's revenue comes from semi-urban and rural India; any macro shock (drought, delayed monsoon, wage compression) could dampen volume recovery momentum.	Medium	Medium	Track rural FMCG volume data from Nielsen and management volume commentary.
Corporate Governance: Dividend Suspension	No dividend declared in FY25 or FY26 to date, breaking a long payout history. While likely tactical (buybacks + acquisition), sustained non-payout could reduce income investor interest.	Low	Low	Watch for dividend announcement with FY26 annual results; monitor CFF for buyback patterns.

SECTION 10 — RECOMMENDATION

Rating	BUY	Conviction Level	Medium-High
12-Month Price Target	₹490	Upside from CMP (₹421)	+16.4%
Suggested Entry Zone	₹400-430	Investment Horizon	12-18 months
Ideal Investor Profile	GARP / Recovering Value	Source: Screener.in	13-Apr-2026

Thesis Invalidation Triggers

#	Trigger	Action
1	EBITDA margin fails to sustain above 16% in any two consecutive quarters of FY26-27 (indicating structural rather than cyclical margin compression)	Downgrade to REDUCE
2	Almond Drops loses >300bps market share in light hair oil category over two successive Nielsen periods — confirming competitive displacement	Re-evaluate thesis; possible EXIT
3	FY27E consensus EPS falls below ₹13 (implying < 20% growth from FY25A) due to input cost spike or volume miss	Downgrade to HOLD

Entry Strategy and Positioning

We recommend BUY in the ₹400-430 range, which corresponds to 26-28x FY27E EPS — a reasonable entry multiple for a recovering FMCG franchise with 14% revenue CAGR visibility and ~35% PAT CAGR in FY26E. The stock is near its 52-week high of ₹445, so patience at current levels is warranted; a dip on broader market weakness would provide a more favourable entry.

This is a GARP (Growth at Reasonable Price) idea best suited for investors with an 18-month horizon willing to see through the trough and invest in the margin recovery story. Income-focused investors should note the current dividend suspension. The clean balance sheet and near-zero debt make this a lower-risk recovery play within the mid-cap FMCG space.

DISCLAIMER: This report is prepared for informational purposes only and does not constitute investment advice. All financial data sourced from Screener.in (as of 13-Apr-2026). Forward estimates are the analyst's own projections and are clearly marked '(E)'. Past performance is not indicative of future results. Investors should conduct their own due diligence before making investment decisions. For Institutional Use Only — Not for Public Distribution.